

BLUE RIDGE CONSTRUCTION LLC

Commercial Mechanical and Process Build-Outs | NC General Contractor License 76418
Yard: 42 Wagon Wheel Road, Weaverville, NC 28787 | Tel: 828-555-0188

To	Larry Bates, Owner / Head Brewer Bates Brewing Company 412 Stoneridge Mill Road, Asheville, NC 28804
Date	October 2, 2026
Project Ref	PR-2026-BBC-014
Subject	Phase 2 Fermentation Room Build-Out — Substantial Completion and Final Draw

Larry,

This letter formalizes the position of the Phase 2 fermentation room build-out as of the week ending October 2 and accompanies our request for the third and final capex draw of \$87,500 against the contracted \$350,000.

We have to push substantial completion from the contracted September 30 date to October 6, 2026. Two distinct slips compounded into the new date:

- **The drainage tile remediation** in the northwest trench under the FV-9 footprint took eight additional working days after we hit unmapped subgrade rebar from the 1973 expansion.
- **The HVAC commissioning vendor** (Carolina Climate Systems) could not complete loop pressure-balance until the drainage trench was backfilled and the floor concrete reached a 28-day cure, which pushed their final commissioning visit to the week of October 5.

All four critical path items are now on the calendar inside the new October 6 substantial completion target. The punch list is attached; fourteen items remain, four of which are marked critical.

The pre-staged final draw envelope (PR-2026-BBC-014, \$87,500) is awaiting your signature. Please review and counter-sign once you have walked the room and signed off the punch list items to your satisfaction.

As-built tank capacity specification is appended for your records. Carolina Climate Systems will leave a separate commissioning certificate with you on October 6.

Respectfully,

Tomás Reyes, PE

Project Manager, Blue Ridge Construction LLC | Tel: 828-555-0188

PHASE 2 PUNCH LIST

Project PR-2026-BBC-014 | Status as of October 2, 2026

Open Punch List Items

#	Trade	Item Description	Priority	Target
1	HVAC	Final glycol loop pressure-balance walk-through with Carolina Climate Systems	CRITICAL	Oct 5
2	Sensors	FV-5 ambient sensor reseal, replace cable clip	CRITICAL	Oct 5
3	Sensors	FV-9 thermostat calibration check against handheld reference	CRITICAL	Oct 5
4	Sensors	FV-12 ambient sensor wiring loom secured to conduit	CRITICAL	Oct 5
5	Electrical	Panel B inspection sign-off, county	HIGH	Oct 5
6	Drainage	Northwest trench tile, final mortar wash on three joints	HIGH	Oct 6
7	Drainage	Floor drain grates, replace two stained units	MEDIUM	Oct 6
8	Paint	Touch-up on north wall scuffs from sensor install	LOW	Oct 6
9	Mechanical	Glycol expansion tank label and pressure log mount	MEDIUM	Oct 6
10	Mechanical	Pump room door auto-close hinge adjust	LOW	Oct 6
11	Sensors	Cold-start alert paging test against Larry's phone, observed run	HIGH	Oct 5
12	Sensors	Door state sensor on man-door, false-positive trim	MEDIUM	Oct 6
13	Cleanup	Removal of construction debris from south staging area	LOW	Oct 6
14	Documentation	Hand over operation and maintenance binder, two copies	HIGH	Oct 6

Note: Owner sign-off is required on each line item listed above before the final draw is released. Critical items (1 through 4) are currently placed on the November opening critical path.

DRAW REQUEST SUMMARY

Project PR-2026-BBC-014 | Final capex draw documentation

Docusign Envelope Details

Envelope ID	7c8b-2026-bbc-014
Status	SENT, AWAITING SIGNATURE
Sender	Blue Ridge Construction LLC (project office)
Sent on	October 2, 2026
Project Reference	PR-2026-BBC-014
Document Type	Final Capex Draw Request and Acknowledgement
Document Amount	\$87,500.00 USD
Recipient (Signer)	Larry Bates, Owner / Head Brewer, Bates Brewing Company
Signature Status	Awaiting signature
Initials Status	Awaiting initials on each page
Expiration	October 16, 2026

Embedded Invoice Summary

Line	Description	Amount
1	Phase 2 build-out, drainage trench and tile remediation (northwest)	\$28,400.00
2	Phase 2 build-out, climate control commissioning support	\$22,150.00
3	Phase 2 build-out, sensor harness install and termination	\$18,975.00
4	Project management, October close-out and as-built handover	\$8,275.00
5	Materials reconciliation, balance carried forward	\$9,700.00
	TOTAL Final draw request, PR-2026-BBC-014	\$87,500.00

The three capex draws of \$87,500 bring committed spend to \$262,500 against the \$350,000 authorization; the project is tracking \$87,500 under budget, with the final draw awaiting signature.

Signature Block (Recipient)

Signature	
Printed Name	Larry Bates
Title	Owner / Head Brewer, Bates Brewing Company
Initials, Page 1	
Initials, Page 2	
Initials, Page 3	
Date	

Signature, initials, and date fields remain unsigned. The envelope will remain in SENT / AWAITING SIGNATURE state until Larry Bates counter-signs directly through the DocuSign channel.

APPENDIX: AS-BUILT TANK CAPACITY SPECIFICATION

Bates Brewing Company | Technical Addendum to PR-2026-BBC-014

Fermenters

Tank ID	Max Volume	Year Installed	Last Service	Loop & Sensor Model	Status
FV-1	120 BBL	2012	Jul 2026	GL-A / TS-440	OPERATIONAL
FV-2	120 BBL	2012	Jul 2026	GL-A / TS-440	OPERATIONAL
FV-3	120 BBL	2014	Jul 2026	GL-A / TS-440	OPERATIONAL
FV-4	120 BBL	2014	Jul 2026	GL-A / TS-440	OPERATIONAL
FV-5	180 BBL	2026	Phase 2 install	GL-B / TS-560	COMMISSIONING PENDING
FV-6	120 BBL	2016	Aug 2026	GL-B / TS-440	OPERATIONAL
FV-7	120 BBL	2018	Aug 2026	GL-B / TS-440	OPERATIONAL
FV-8	120 BBL	2018	Aug 2026	GL-B / TS-440	OPERATIONAL
FV-9	240 BBL	2026	Phase 2 install	GL-C / TS-560	COMMISSIONING PENDING
FV-10	120 BBL	2020	Aug 2026	GL-C / TS-440	OPERATIONAL
FV-11	120 BBL	2020	Aug 2026	GL-C / TS-440	OPERATIONAL
FV-12	240 BBL	2026	Phase 2 install	GL-C / TS-560	COMMISSIONING PENDING

Bright Tanks

Tank ID	Max Volume	Year Installed	Last Service	Status
BR-1	60 BBL	2015	Jul 2026	OPERATIONAL
BR-2	60 BBL	2015	Jul 2026	OPERATIONAL

Barrel Program Tanks

Tank ID	Max Volume	Year Installed	Last Service	Status & Product Notes
BBL-A	40 BBL	2019	Aug 2026	Operational, Father's Reserve
BBL-B	40 BBL	2019	Aug 2026	Operational, Black Hollow
BBL-C	60 BBL	2022	Aug 2026	Operational, Experimental Imperial
BBL-D	40 BBL	2024	Aug 2026	Operational, blending reserve

Total active fermentation capacity once Phase 2 sign-off completes: **2,580 BBL per cycle equivalent** (assuming standard 14-day primary plus 7-day conditioning rotation).

Blue Ridge Construction LLC | Project: PR-2026-BBC-014